DIFFERENCES BETWEEN ACCOUNTING PROFIT AND TAXABLE INCOME

Learning Outcome

- contrast accounting profit, taxable income, taxes payable, and income tax expense and temporary versus permanent differences between accounting profit and taxable income

A company's **accounting profit** is reported on its income statement in accordance with prevailing accounting standards. Accounting profit (also referred to as income before taxes or pretax income) does not include a provision for income tax expense.[1] A company's **taxable income** is its income subject to income taxes under the tax laws of the relevant jurisdiction. A company's taxable income is the basis for its **income tax payable** (a liability) or recoverable (an asset), which appears on its balance sheet. **Income tax paid** in a period is the cash amount paid for income and reduces the income tax payable.

The **tax base** of an asset or liability is the amount at which the asset or liability is valued for tax purposes, whereas the **carrying amount** is the amount at which the asset or liability is recorded in the financial statements.[2] The tax bases and carrying amounts of assets and liabilities can differ based on differences in accounting standards and the relevant tax laws. Common differences are as follows:

- Revenues and expenses may be recognized in one period for accounting purposes and a different period for tax purposes.
- Specific revenues and expenses may be either recognized for accounting purposes and not at all for tax purposes, or vice versa.
- The deductibility of gains and losses of assets and liabilities may vary for accounting and income tax purposes.
- Subject to tax rules, tax losses in prior years might be used to reduce taxable income in later years, resulting in differences in accounting and taxable income (tax loss carryforward).
- Adjustments of reported financial data from prior years might not be recognized equally for accounting and tax purposes or might be recognized in different periods.

A common example is accelerated depreciation of an asset for tax reporting (to increase expense and lower tax payments in the early years) while using the straight-line depreciation method on the financial statements. Although different on a year-to-year basis (e.g., depreciation of 10 percent on a straight-line basis may be used for accounting purposes, whereas 50 percent might be allowed for tax purposes in the first year) both approaches allow for the total cost of the asset to be depreciated over its useful life.

Differences between the tax base and carrying amount of liabilities (and, by extension, between taxable income and accounting profit) can either be temporary or permanent. Temporary differences, like the aforementioned accelerated versus straight-line depreciation example, reverse in future periods, whereas permanent differences do not.

Taxable Temporary Differences

Temporary differences are further divided into two categories, namely taxable temporary differences and deductible temporary differences. **Taxable temporary differences** result from the carrying amount of an asset exceeding its tax base (like the aforementioned accelerated depreciation example at the end of Year 1) or when the tax base of a liability exceeds its carrying amount. Taxable temporary differences result in the recognition of **deferred tax liabilities**.

deduction of taxable income in a future period when the balance sheet item is recovered or settled. Deductible temporary differences result in a **deferred tax asset** when the tax base of an asset exceeds its carrying amount and, in the case of a liability, when the carrying amount of the liability exceeds its tax base. The recognition of a deferred tax asset is allowed only to the extent there is a reasonable expectation of future profits against which the asset or liability (that gave rise to the deferred tax asset) can be recovered or settled.

To determine the probability of sufficient future profits for utilization, one must consider the following: (1) sufficient taxable temporary differences must exist that are related to the same tax authority and the same taxable entity; and (2) the taxable temporary differences that are expected to reverse in the same periods as expected for the reversal of the deductible temporary differences.

Taxable and Deductible Temporary Differences

Exhibit 1 summarizes how differences between the tax bases and carrying amounts of assets and liabilities give rise to deferred tax assets or deferred tax liabilities.

Exhibit 1:

Treatment of Temporary Differences

Balance Sheet Item	Carrying Amount vs. Tax Base	Results in Deferred Tax Asset/Liability
Asset	Carrying amount > tax base	Deferred tax liability
Asset	Carrying amount < tax base	Deferred tax asset
Liability	Carrying amount > tax base	Deferred tax asset
Liability	Carrying amount < tax base	Deferred tax liability

Example 1 and 2 illustrate the difference in the tax base and carrying amount of the assets and liabilities, whether they are temporary or permanent differences, and whether a deferred tax asset or liability will be recognized.

EXAMPLE 1

Differences in Tax Base and Carrying Amount of Assets and Liabilities

Exhibit 2:

Tax Base and Carrying Amounts

	Carrying Amount (euros)	Tax Base (euros)	Temporary Difference (euros)	*Will Result in Deferred Tax Asset/Liability*
1. Dividends receivable	1,000,000	1,000,000	0	*N/A*
2. Development costs	2,500,000	2,250,000	250,000	*Deferred tax liability*
3. Research costs	0	375,000	(375,000)	*Deferred tax asset*
4. Accounts receivable	1,500,000	1,218,750	281,250	*Deferred tax liability*

not result in the recognition of any deferred tax asset or liability. A temporary difference constitutes a difference that will, at some future date, be reversed. Although the timing of recognition is different for tax and accounting purposes, in the end the full carrying amount will be expensed/recognized as income. A permanent difference will never be reversed. Based on tax legislation, dividends from a subsidiary are not recognized as income. Therefore, no amount will be reflected as dividend income when calculating the taxable income, and the tax base of dividends receivable must be the total amount received, namely EUR1,000,000. The taxable income and accounting profit will permanently differ with the amount of dividends receivable, even on future financial statements as an effect on the retained earnings reflected on the balance sheet.

2. *Development costs*: The difference between the carrying amount and tax base is a temporary difference that, in the future, will reverse. In this fiscal year, it will result in a deferred tax liability.
3. *Research costs*: The difference between the carrying amount and tax base is a temporary difference that results in a deferred tax asset. Remember that a deferred tax asset arises because of an excess amount paid for taxes (when taxable income is greater than accounting profit), which is expected to be recovered from future operations. Based on accounting principles, the full amount was deducted resulting in a lower accounting profit, while the taxable income by implication, should be greater because of the lower amount expensed.
4. *Accounts receivable*: The difference between the carrying amount and tax base of the asset is a temporary difference that will result in a deferred tax liability.

EXAMPLE 2

Differences in Tax Base and Carrying Amount of Assets and Liabilities

Exhibit 3:

Tax Base and Carrying Amounts

	Carrying Amount (euros)	Tax Base (euros)	Temporary Difference (euros)	*Will Result in Deferred Tax Asset/Liability*
1. Donations	0	0	0	*N/A*
2. Interest received in advance	300,000	0	(300,000)	*Deferred tax asset*
3. Rent received in advance	10,000,000	0	(10,000,000)	*Deferred tax asset*
4. Loan (capital)	550,000	550,000	0	*N/A*
4. Interest paid	0	0	0	*N/A*

1. *Donations*: It was assumed that tax legislation does not allow donations to be deducted for tax purposes. No temporary difference results from donations, and thus a deferred tax asset or liability will not be recognized. This constitutes a permanent difference.
2. *Interest received in advance*: Interest received in advance results in a temporary difference that gives rise to a deferred tax asset. A deferred tax asset arises because of an excess amount paid for taxes (when taxable income is greater than accounting profit), which is expected to be recovered from future operations.

asset.

4. *Loan*: There are no temporary differences, as a result of the loan or interest paid, and thus no deferred tax item is recognized.

Permanent Differences

Permanent differences are differences between tax laws and accounting standards that *will not* be reversed at some future date. Because they will not be reversed at a future date, these differences do not give rise to deferred tax. These items typically include the following:

- income or expense items not allowed by tax legislation, such as penalties and fines that are considered expenses for financial reporting purposes, but are not deductible for tax purposes; and
- tax credits for some expenditures that directly reduce taxes. An example is tax credits provided by tax authorities to encourage the purchase of solar power or an electric vehicle.

Because no deferred tax item is created for permanent differences, all permanent differences result in a difference between the company's tax rate and its statutory corporate income tax rate.

Tax Expense

A company's **tax expense** or its provision for income taxes, appears on its income statement and is an aggregate of its income tax payable (or recoverable in the case of a tax benefit) and any changes in deferred tax assets and liabilities. This approach, rather than simply reporting income taxes paid, follows the matching principle by reporting the tax consequences of all current period activities.

Question Set

1. When accounting standards require recognition of an expense that is not permitted under tax laws, the result is a:

   A. deferred tax liability.
   B. temporary difference.
   C. permanent difference.

   Hide Solution

   Solution:

   C is correct. Accounting items that are not deductible for tax purposes will not be reversed and thus result in permanent differences.

2. When certain expenditures result in tax credits that directly reduce taxes, the company will *most likely* record:

   A. a deferred tax asset.
   B. a deferred tax liability.
   C. no deferred tax asset or liability.

   Hide Solution

   Solution:

   C is correct. Tax credits that directly reduce taxes are a permanent difference, and permanent differences do not give rise to deferred tax.

3. In early 2018, Sanborn Company must pay the tax authority EUR37,000 on the income it earned in 2017. This amount was *most likely* recorded on the company's

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A. taxes payable.
B. income tax expense.
C. a deferred tax liability.

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Solution:

A is correct. The taxes a company must pay in the immediate future are taxes payable.

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Discussion

What do you want to discuss... (required)

ML

In this lesson, line 2 example 2 and exhibit 3, should that be Deferred Tax Asset instead? Given that lower development cost is incorporated in the tax base, ---> higher taxable income ---> higher taxes paid temporarily.

Created 5 months ago by Mingli Liang — 1 reply | Last Activity: 3 months ago

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OK

I think table provided "Treatment of Temporary Difference" is absolutely misleading. If we assume that Liabilities are also costs, which is correct assumption, then the development costs in Example 1 should be the DTA, not DTL. Internet says that in fact development costs are treated as "asset" here. My question is then where exactly examples of such kind are provided in reading??? Very frustrating, don't know what to add

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AN

In this lesson, the terms tax base and carrying amount of an "asset" or "liability" are used. Shouldn't we say tax base of a "revenue" instead of "asset" and tax base and carrying amount of an "expense" and not liability, since we're interested in accounting profit et taxable income which are computed using revenues and expenses, rather than assets and liabilities ?

Created 6 months ago by Alpaya Niang — 1 reply | Last Activity: 6 months ago

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RH

Shouldn't 2 and 3 in Example 2 Exhibit 3 have positive tax bases while 0 for carrying amount? Interest and revenue received in advance would be $0 on the financial statements while they'd be taxed when received, even early. It'd be the same DTA conclusion as the example answer given.

Created 7 months ago by Robb Hideo Hirano — 2 replies | Last Activity: 6 months ago

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